

14. (2 points)

Identify and briefly describe four major problems that make reinsurance loss reserving more difficult than primary insurer loss reserving.

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SAMPLE ANSWERS AND EXAMINER'S REPORT – SPRING 2019 EXAM 7

QUESTION 14	
TOTAL POINT VALUE: 2	LEARNING OBJECTIVE(S): A11
SAMPLE ANSWERS	
<u>Sample 1</u> • Report lags are much longer for reinsurers. Claim needs to be reported to primary insurer. Then after that, it has to reach a certain threshold before it's reported to reinsurer & there could be intermediaries between the reinsurer & primary insurer too. • There is persistent upward development. This is caused by primary insurers under-reserving for ALAE & setting case reserves to mode. • Industry data is not useful due to heterogeneity of reinsurers exposures so reinsurers have hard time comparing data. • IT and technological issues. It's hard for IT departments to keep up with data coding since information required to be captured is always changing. <u>Sample 2</u> • Non-homogeneous data/reporting patterns – exposures vary significantly by reinsurance products due to retention limits, attachment points, policy terms, etc. • Reporting delays tend to be longer for reinsurance due to: cedant needs to recognize claim. Then it must flow thru pipeline to reinsurer; cedant may under-value claim for a long time; mass torts (like asbestos) cause major delays. • Industry statistics not as useful for reinsurance lines due to non-homogenous data issue mentioned above. Aggregated industry values don't have appropriate level of detail. • Data provided by primary via reporting can lack crucial details, such as AY, forcing reinsurer to impute it. May also be heavily summarized or have missing info that would help reinsurer properly reserve. <u>Sample 3</u> • Due to heterogeneity of coverage, data coding and IT system are not updated frequently and may have errors - reserve data might not be accurate. • Persistent increase in reserves. Claims are usually recorded at modal values; ALAE understated; there is social and economic inflation. • Due to the uncertainty of reinsurance reserves the reserve-to-surplus ratio is higher than that of a primary. Management may not believe the higher reserves and may be difficult to convince. • Since there are different forms of reinsurance; different attachment points and coverage, data is not homogenous, so industry data is less useful.	
EXAMINER'S REPORT	
Candidates were expected to identify and briefly describe the differences between reinsurers and primary insurers relating to reserving methods, impact on assumptions from differences in information available to reinsurers and the underlying business characteristics of reinsurance contracts. Common errors include: • Incorrectly stating that RAA publishing their study ever 2 years is a problem • Stating persistent upward trend instead of upward development • Using the word "heteroskedasticity" instead of the word "heterogeneity" • Identifying a reason without briefly describing • Stating that reinsurers have a higher surplus to reserve ratio • Stating that reserves are homogeneous instead of heterogeneous	